Business Economics- TCS 2112

Government Intervention

Tutorial 04- Part II

01. The demand and supply equations for a competitive sugar market are shown below.

Qd= 260-3P

Qs= -140+2P

Required:

i. Calculate the equilibrium price and quantity.

ii. Draw the diagram based on the above information.

iii. Calculate the consumer and producer surplus at the equilibrium.

iv. Calculate the total surplus at the equilibrium.

v. If the government imposed a domestic goods tax of Rs. 5 on a unit of sugar

   a. Derived new supply equation

   b. Find out new equilibrium price and quantity after tax

   c. Calculate the consumer surplus after tax

   d. Calculate producer surplus after tax

   e. Find the amount of tax

   f. Find out the deadweight loss due to the tax

02. The demand and supply equations for a competitive Milk powder market are shown below.

Qd= 400-2P

Qs= -240+3P

Required:

i. Find out equilibrium price and quantity
ii. Calculate consumer and producer surplus at the equilibrium
iii. If the government decided to provide subsidy of Rs. 20 per unit for this market,
    a. Derived the new supply equation
    b. Find out new equilibrium price and quantity after subsidy
    c. Calculate consumer and producer surplus after the subsidy
    d. Calculate the cost incurred by the government due to subsidy
    e. Deadweight loss